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Theme 4.1 International Economics — Edexcel B

1. Globalisation

Globalisation: The increasing integration and interdependence of the world's economies through the growth of international trade, investment, migration, and the spread of technology, culture, and ideas across national borders.

1.1 Characteristics of Globalisation

- **Increased trade:** World trade as a share of global GDP has risen from around 25% in 1960 to over 55% today.
- **Foreign Direct Investment (FDI):** Multinational corporations (MNCs) invest and operate across borders — global FDI flows exceed 1.5 trillion annually.
- **Migration:** Movement of workers across borders — over 280 million international migrants worldwide.
- **Financial integration:** Capital flows freely between countries — global financial markets operate 24/7.
- **Technology transfer:** Ideas, innovations, and production methods spread rapidly across borders.
- **Cultural convergence:** Spread of brands, media, and consumer culture globally.

1.2 Causes of Globalisation

Factor	Explanation
Reduced trade barriers	WTO negotiations have cut average tariffs from over 40% (1947) to under 3% for developed countries.

Transport costs	Containerisation revolutionised shipping (costs fell over 90%). Air freight became cheaper and faster.
Communication technology	The internet, smartphones, and broadband enable instant global communication and e-commerce.
Financial deregulation	Removal of capital controls allows money to flow freely across borders.
Trade blocs	EU single market, NAFTA/USMCA, ASEAN reduce barriers between member states.
Rise of MNCs	Companies like Apple, Toyota, and Unilever operate global supply chains spanning dozens of countries.
Political change	Fall of communism (1989-91) opened China and Eastern Europe to world trade.

1.3 Costs and Benefits of Globalisation

Benefits	Costs
Lower prices for consumers through increased competition and specialisation	Structural unemployment as industries move to lower-cost countries (deindustrialisation)
Greater consumer choice and variety	Increased inequality — within and between countries
Technology transfer and knowledge spillovers to developing countries	Environmental degradation — "race to the bottom" in environmental standards
Economic growth through trade and FDI	Loss of national sovereignty — global firms may have more power than governments
Poverty reduction — hundreds of millions lifted out of extreme poverty (esp. China, India)	Cultural homogenisation — local cultures displaced by global brands

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Economies of scale — firms access larger global markets	Increased vulnerability to global shocks (e.g., 2008 financial crisis, COVID-19 supply chains)

Case Study: China and Globalisation

China's integration into the global economy after joining the WTO in 2001 is perhaps the most dramatic globalisation case study. China became the world's largest exporter and second-largest economy. GDP per capita rose from around $1,000 in 2001 to over $12,000 by 2023. Over 800 million people were lifted out of extreme poverty. However, the costs include: significant environmental damage (China became the world's largest CO2 emitter), exploitation of labour in factories, intellectual property theft concerns, and the hollowing out of manufacturing in Western countries — contributing to unemployment in regions like the US Rust Belt and Northern England.

2. Trade Theory

2.1 Absolute Advantage (Adam Smith)

Absolute advantage: A country has an absolute advantage in producing a good if it can produce it using fewer resources (more efficiently) than another country. Smith argued that countries should specialise in goods where they have an absolute advantage and trade for the rest.

2.2 Comparative Advantage (David Ricardo)

Comparative advantage: A country has a comparative advantage in producing a good if it can produce it at a lower **opportunity cost** than another country. Even if one country is more efficient at producing everything (absolute advantage in all goods), both countries still benefit from specialisation and trade based on comparative advantage.

Numerical Example

Country	Cloth (units/hour)	Wine (units/hour)	Opportunity cost of 1 Cloth	Opportunity cost of 1 Wine
UK	10	5	0.5 Wine	2 Cloth
Portugal	8	8	1 Wine	1 Cloth

The UK has a comparative advantage in cloth (opportunity cost of 0.5 wine vs 1 wine for Portugal). Portugal has a comparative advantage in wine (opportunity cost of 1 cloth vs 2 cloth for UK). Both countries benefit if the UK specialises in cloth and Portugal in wine, then they trade.

2.3 Assumptions and Limitations of Comparative Advantage

- **Assumes constant costs of production** — in reality, costs may increase as production scales up (diminishing returns).
- **Assumes no transport costs** — in reality, transport costs may offset gains from trade.
- **Assumes perfect factor mobility within countries** — workers displaced from declining industries may not easily move to growing ones.
- **Assumes no externalities** — specialisation may cause environmental damage.
- **Ignores terms of trade** — the gains from trade depend on the exchange ratio between goods.
- **Static model** — does not account for changes in comparative advantage over time (a country can develop new advantages through investment and technology).
- **Free trade may not benefit all groups** — even if total welfare increases, workers in declining industries lose out.

Evaluation: Free Trade vs Protectionism

- Trade theory strongly supports free trade — but the distribution of gains matters.
- Developing countries may need temporary protection to develop infant industries.
- Over-specialisation creates vulnerability to external shocks (e.g., commodity-dependent economies).
- Comparative advantage can change over time — it is not permanently fixed.

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- Strategic trade theory suggests government intervention can help domestic firms gain advantages in high-tech industries.

3. Exchange Rates

Exchange rate: The price of one currency in terms of another. For example, £1 = $1.27 means one pound buys 1.27 US dollars.

3.1 Exchange Rate Systems

System	How It Works	Example
Floating	Exchange rate determined by market forces of supply and demand for the currency. No government intervention.	UK pound, US dollar, euro (largely floating)
Fixed	Government/central bank pegs the currency to another currency or gold and intervenes to maintain the rate.	Hong Kong dollar pegged to US dollar; Bretton Woods system (1944-71)
Managed float	Mostly floating, but central bank intervenes occasionally to prevent excessive volatility or misalignment.	Many countries in practice (India, Singapore)

3.2 Determination of Floating Exchange Rates

The exchange rate is determined by the supply of and demand for a currency on foreign exchange markets:

Demand for pounds (shifts D right = appreciation)

- Foreigners buying UK exports (need pounds to pay).
- Foreign investors investing in the UK (FDI, buying UK shares/bonds).

- Speculators expecting the pound to rise.
- Higher UK interest rates — attract "hot money" capital inflows.
- Relative inflation — lower UK inflation makes UK goods more competitive, increasing export demand.

Supply of pounds (shifts S right = depreciation)

- UK residents buying imports (sell pounds to buy foreign currency).
- UK investors investing abroad.
- Speculators expecting the pound to fall.
- Lower UK interest rates relative to other countries.

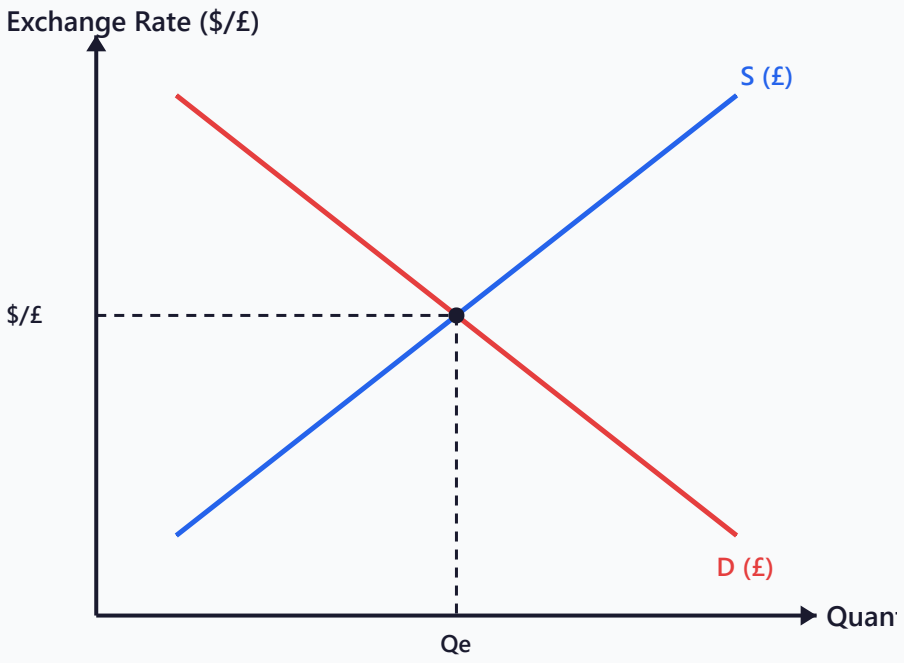

Figure 1: The foreign exchange market for pounds sterling — equilibrium exchange rate determined by supply and demand.

3.3 Effects of Exchange Rate Changes

Depreciation (Fall in Value of £)

- **Exports become cheaper** in foreign currency — boosting export demand.
- **Imports become more expensive** in pounds — reducing import demand.

- Improves the **current account** (if Marshall-Lerner condition is met).
- May cause **cost-push inflation** through more expensive imported raw materials.
- Increases the cost of **foreign debt** (if denominated in foreign currency).

Appreciation (Rise in Value of £)

- Exports become more expensive — reduces export competitiveness.
- Imports become cheaper — benefits consumers and firms using imported inputs.
- Worsens the current account.
- Reduces inflationary pressure (cheaper imports).

3.4 The Marshall-Lerner Condition and J-Curve

> **Marshall-Lerner condition:** A depreciation will improve the current account only if the sum of the price elasticities of demand for exports and imports is greater than 1 ($|PED_X| + |PED_M| > 1$).

The **J-Curve effect**: In the short run, a depreciation may initially worsen the current account because import and export volumes take time to adjust (contracts are pre-agreed, consumers take time to switch). In the short run, the higher price of imports increases the import bill. Over time, volumes adjust and the current account improves — tracing a J-shape.

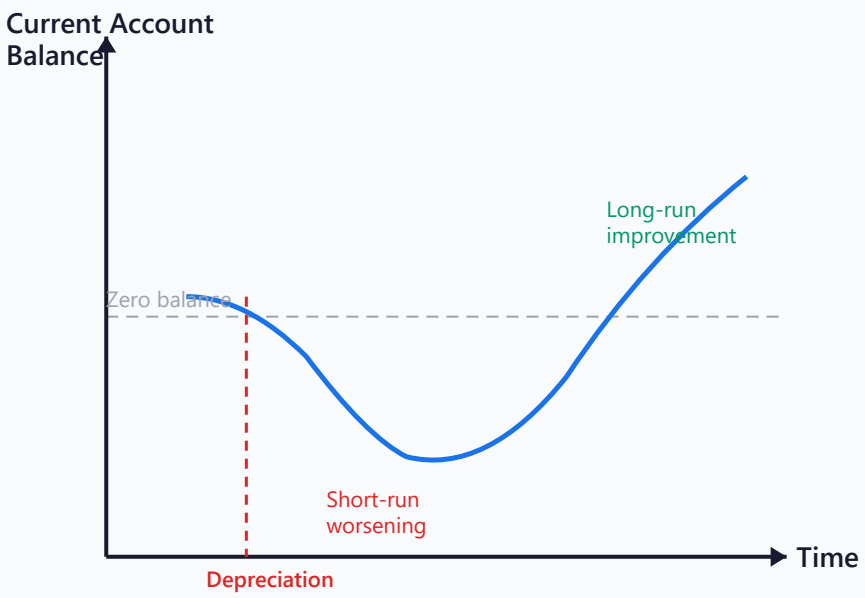

Figure 2: The J-Curve — a depreciation initially worsens the current account before improving it in the long run.

Case Study: Brexit and the Pound

Following the EU referendum result on 23 June 2016, the pound fell sharply — from around $1.50 to $1.32 against the dollar (a 12% depreciation) within 24 hours. This made UK exports cheaper and imports more expensive. However, the expected improvement in the trade balance was slow to materialise — consistent with the J-Curve. The weaker pound also contributed to inflation, which rose from 0.5% in June 2016 to 3.0% by September 2017 as imported goods became more expensive. The pound has not returned to its pre-referendum level, reflecting long-term market reassessment of the UK's economic prospects outside the EU single market.

4. Trade Blocs and Economic Integration

Trade bloc: A group of countries that agree to reduce or eliminate trade barriers between themselves to encourage trade and economic integration.

4.1 Levels of Integration

Type	Features	Example
Free Trade Area	No tariffs/quotas between members, but each country sets its own external trade policy	USMCA (US-Mexico-Canada), EFTA
Customs Union	Free trade between members + common external tariff (CET) on imports from non-members	EU customs union, Mercosur
Single/Common Market	Customs union + free movement of goods, services, capital, and labour	EU Single Market
Economic Union	Single market + harmonised economic policies	EU (partial economic union)

Monetary Union	Economic union + single currency and central bank	Eurozone (19 EU countries using the euro)

4.2 Trade Creation and Trade Diversion

Trade creation: When joining a trade bloc leads to a shift from a higher-cost domestic producer to a lower-cost member country producer (welfare-improving).

Trade diversion: When joining a trade bloc leads to a shift from a lower-cost non-member producer to a higher-cost member producer (because the external tariff makes the non-member more expensive). This is welfare-reducing.

A trade bloc is beneficial overall if trade creation exceeds trade diversion.

Evaluation: Trade Blocs

- Trade creation increases welfare but trade diversion reduces it — net effect is ambiguous.
- Trade blocs may act as stepping stones towards global free trade (building blocks) or obstacles to it (stumbling blocks).
- Loss of policy independence — members must accept common rules and may lose flexibility.
- Regional integration can increase political stability and cooperation.
- Benefits depend on the size and diversity of the bloc.

5. The World Trade Organisation (WTO)

WTO: An international organisation (established 1995, replacing GATT) with 164 member countries. Its role is to promote free trade by negotiating trade agreements, settling trade disputes, and enforcing trade rules.

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5.1 Key Principles

- **Most Favoured Nation (MFN):** Any trade concession given to one WTO member must be extended to all members (no discrimination). Exception: trade blocs.
- **National treatment:** Imported goods must be treated the same as domestically produced goods once inside the border.
- **Reciprocity:** Trade concessions should be mutual.
- **Transparency:** Trade policies must be published and predictable.

5.2 Limitations of the WTO

- The Doha Round of negotiations (launched 2001) has effectively stalled — disagreements between developed and developing countries.
- Slow and cumbersome decision-making (consensus required among 164 members).
- Enforcement is weak — the dispute settlement mechanism can be slow, and powerful countries may ignore rulings.
- Bilateral and regional trade agreements have proliferated, potentially undermining the multilateral system.
- Criticised for favouring developed countries' interests.

6. Protectionism

Protectionism: Government policies that restrict international trade to shield domestic industries from foreign competition. Methods include tariffs, quotas, subsidies, and non-tariff barriers.

6.1 Methods of Protection

Tariffs

A tax on imported goods. Raises the price of imports, making domestic goods more competitive. Generates government revenue.

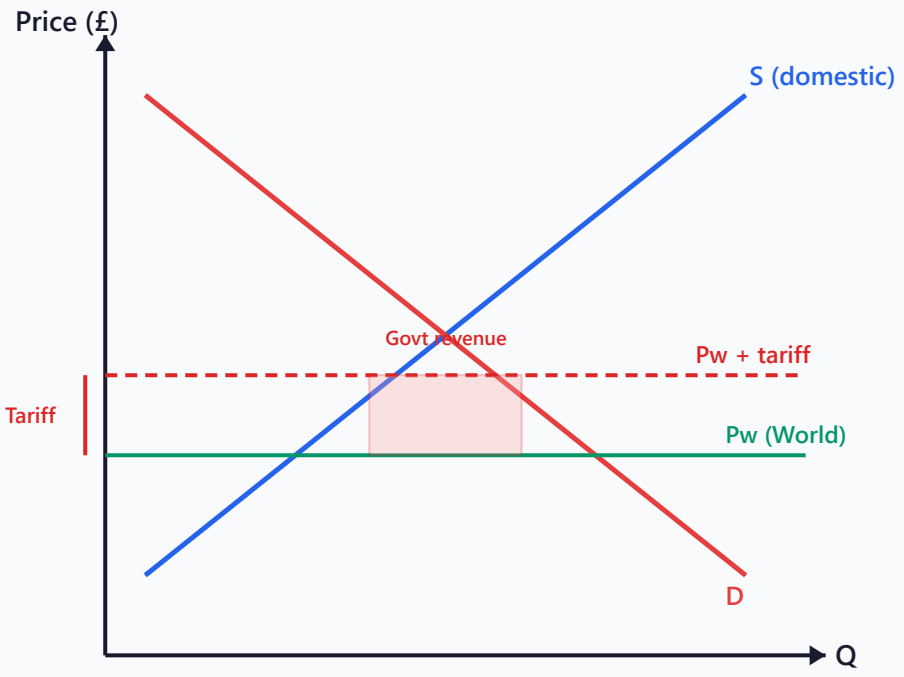

Figure 3: Effect of a tariff — raises the import price from Pw to Pw+tariff, reducing imports and generating government revenue (shaded area).

Quotas

A physical limit on the quantity of a good that can be imported. Restricts supply, raising the domestic price. Unlike tariffs, quotas generate no government revenue — the revenue from higher prices goes to importers or foreign producers.

Subsidies to Domestic Producers

Government payments to domestic firms to reduce their costs and make them more competitive against imports. Less visible than tariffs and often harder to challenge under WTO rules.

Non-Tariff Barriers (NTBs)

- **Administrative barriers:** Complex customs procedures, paperwork, and red tape that delay imports.
- **Product standards and regulations:** Requiring imports to meet stringent safety, environmental, or quality standards.
- **Voluntary Export Restraints (VERs):** An exporting country "voluntarily" limits exports to avoid a tariff.
- **Government procurement policies:** Favouring domestic firms in government contracts.

- **Exchange rate manipulation:** Deliberately weakening the currency to make exports cheaper.

6.2 Arguments For Protectionism

- **Infant industry argument:** New industries may need temporary protection from established foreign competitors until they achieve economies of scale and become competitive.
- **Protecting employment:** Preventing job losses in industries facing cheap foreign competition.
- **National security:** Maintaining domestic capacity in strategically important industries (defence, food, energy).
- **Anti-dumping:** Preventing foreign firms from selling below cost to drive out domestic competitors.
- **Correcting trade imbalances:** Reducing a persistent current account deficit.
- **Environmental and safety standards:** Protecting against imports produced without adequate environmental or labour standards.
- **Government revenue:** Tariffs generate revenue, particularly important for developing countries with weak tax systems.

6.3 Arguments Against Protectionism

- **Higher prices for consumers:** Tariffs and quotas raise prices, reducing consumer surplus and living standards.
- **Reduced consumer choice.**
- **Retaliation:** Other countries may impose their own tariffs, leading to a trade war that harms all parties.
- **Reduces competitive pressure:** Protected firms become inefficient and complacent.
- **Misallocation of resources:** Resources are directed to protected industries rather than those where the country has a comparative advantage.
- **Infant industry protection may become permanent** — industries lobby to maintain protection indefinitely.
- **Deadweight welfare loss:** Tariffs create deadweight loss similar to indirect taxes.

Case Study: US-China Trade War

In 2018, the Trump administration imposed tariffs of up to 25% on approximately $370 billion of Chinese imports, citing unfair trade practices, intellectual property theft, and the US trade deficit

with China (over $350 billion). China retaliated with tariffs on US agriculture, cars, and energy products. Studies by the Federal Reserve Bank of New York estimated that the tariffs cost the average American household approximately $831 per year in higher prices. US farmers were particularly hard hit by Chinese retaliation — soybean exports to China fell by 75%. The trade war also disrupted global supply chains and increased business uncertainty, reducing investment globally.

Case Study: Post-Brexit UK Trade

After Brexit, the UK left the EU single market and customs union on 1 January 2021. Although a tariff-free trade deal (TCA) was agreed, new non-tariff barriers emerged: customs declarations, rules of origin checks, phytosanitary inspections on food products, and regulatory divergence. UK goods exports to the EU fell significantly in the first months. Small businesses were disproportionately affected by the additional paperwork and costs. Studies by the Centre for European Reform estimated that by 2023, UK goods trade was approximately 7% lower than it would have been without Brexit, illustrating how non-tariff barriers can be as significant as tariffs.

Exam Tip: When evaluating protectionism, always consider: (1) which groups benefit (domestic producers, government) and which lose (consumers, exporting industries); (2) short-run vs long-run effects; (3) the risk of retaliation; (4) whether the protection is temporary or permanent; and (5) alternative policies that might address the underlying problem more efficiently.

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